UTEP CENTER FOR FREE ENTERPRISE
WOODY L. HUNT COLLEGE OF BUSINESS

PERSONAL FINANCIAL LITERACY · SESSION 2 TAKEAWAYS

Building Wealth Over Time

What to remember, and what to do this week

Big ideas

1. **Save for the short term, invest for the long term.**
   Inflation, historically 2–3% a year, slowly shrinks what cash in savings can buy.
2. **Risk and return travel together.**
   Match how you invest to how long you can leave the money alone.
3. **Time is your biggest advantage.**
   Compounding rewards whoever starts first, not whoever earns most.
4. **Keep it simple and cheap.**
   Broad index funds and ETFs are diversified and low cost. Always check the expense ratio.
5. **Diversify.**
   Own many things across asset classes. Never bet your future on a single investment.
6. **Take the full employer match.**
   It is part of your pay. Early in your career, favor Roth accounts.
7. **Be patient.**
   Don't try to time the market or panic sell. Gains on investments held over a year are taxed at a lower rate.
8. **Borrow for school wisely.**
   Use 529 funds and federal loans before private ones, and borrow only what you need.

Numbers to remember

$439,000	$100 a month from age 18 to 65 at 7%. You put in only $56,400. Start at 30 instead: about $180,000.
$166,000	What a 1% fee costs versus a 0.1% fund on $100,000 over 30 years
2×	A 100% match on 3% of a $50,000 salary turns your $1,500 into $3,000
1 year+	Hold that long and gains are taxed at 0, 15, or 20%, instead of rates up to 37%

Do this week

- [ ] Run the investing simulator: start at 18, then at 30.
- [ ] Have job or gig income? Ask a parent about a custodial Roth IRA.
- [ ] Look up the expense ratio of one broad index fund.
- [ ] Use the match calculator to see what a 401(k) match adds to your pay.
- [ ] Write down your net worth: what you own minus what you owe.

TRY IT

Free calculators, no sign-up

Investing and Compound Growth, Paycheck and Employer Match, Loan Calculator: Student Loans

center-for-free-enterprise.github.io/PFL

For learning only; not financial advice. Examples are simplified and assume a 7% average annual return; real returns vary.

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